Unmatched Distributor Payments: An Order-to-Cash Case Study

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A self-initiated case study built only from Cello World Ltd's public filings. It is not client work, and every claim about Cello's internal process is a hypothesis to validate.

Summary

In FY26 Cello's receivables were about ₹34 crore higher than revenue growth alone would explain. This is an illustrative, growth-adjusted comparison, not proven cash lost to reconciliation problems. This case study asks whether unmatched distributor payments could be part of the reason, and designs a pilot-ready way to find out and fix it. That gap is working capital the business can't use, and unresolved deductions can also distort credit decisions with distributors.

It covers the full path a BA or product manager would take: the signal, stakeholders, the as-is process, root-cause hypotheses, a to-be design, user stories, prioritisation, controls and UAT, and success metrics.

Context and signal

Cello is a ₹2,324 crore consumer products manufacturer (houseware, writing instruments, moulded furniture) selling largely through dealers and distributors.

Signal (consolidated)	FY25	FY26	Change
Revenue from operations	₹2,136 Cr	₹2,324 Cr	+8.8%
Trade receivables	₹658 Cr	₹750 Cr	+14.0%

If receivables had grown in line with revenue, they would be about ₹716 crore. The actual figure is ₹750 crore, roughly ₹34 crore more cash sitting with customers than growth explains.

Three more facts shape the problem:

- **Credit terms:** average credit period on sales of goods is 30–120 days (consolidated, FY25).
- **Systems in transition:** Cello's ERP covers houseware and moulded furniture and is being extended to writing instruments and stationery.

- **Channel:** sales to 565 dealers and distributors in FY26, with online at 16.3% of revenue in Q1 FY27.

What this does not prove: receivables can rise through deliberate credit expansion, channel mix or year-end timing. The signal justifies a discovery conversation, not a diagnosis.

Problem statement

When a distributor pays an amount that doesn't match the invoice, the finance team may spend significant manual effort working out why, who owns the difference and how to close it. That delays cash application and hides what is genuinely overdue.

Example (illustrative): Cello invoices a distributor ₹10,00,000. The distributor pays ₹9,80,000 with no breakdown. The ₹20,000 gap could be a scheme deduction, a damage claim, a short payment or a dispute, and until someone finds out, it sits unresolved. Meanwhile the distributor's account may look settled enough to keep ordering on credit, so old deductions compound with new exposure.

Assumption	Why it's plausible	How to validate
Many payments arrive without invoice-level remittance detail	Common in distributor-led channels	Sample one month of bank receipts
Deductions are resolved over email between Finance and Sales	No single owner for scheme claims	Interview AR and Sales managers
Ageing is visible only at month-end	Reconciliation happens in close cycles	Review the month-end ageing process
The ERP records outcomes but not the investigation	ERPs post entries; casework lives outside	Walk through one real exception

Stakeholders and responsibilities

Activity	AR executive	AR lead	Finance Controller	Sales / area manager	IT / ERP	Internal audit
Match payments to invoices	R	A	I		C	
Investigate a difference	R	A		C		
Confirm a scheme or damage claim	C			R		

Activity	AR executive	AR lead	Finance Controller	Sales / area manager	IT / ERP	Internal audit
Approve a deduction or write-off		R	A	C		I
Post the adjustment in the ERP	R	A			C	
Report exception ageing	R	A	I	I		I

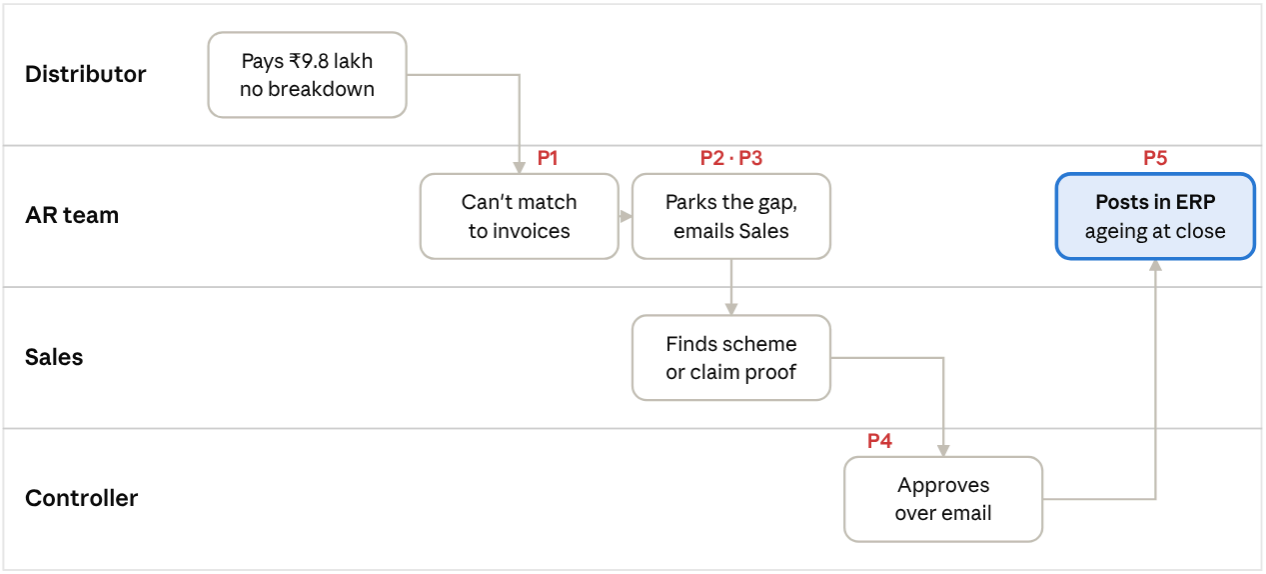
R = does the work, A = accountable, C = consulted, I = informed. Distributors are the external party in every exception.

As-is process (hypothesised)

A mismatched payment passes through four hands before it closes, and most of the effort happens outside the ERP.

One short payment passes through four hands before it closes

Hypothesised as-is flow · P1–P5 = pain points



as-is flow · 4 roles, 6 steps, 5 pain points

Pain points marked on the flow:

1. **P1 – No remittance detail:** the payment can't be tied to specific invoices.
2. **P2 – Unstructured reasons:** the cause of a difference lives in emails, not in a field anyone can report on.
3. **P3 – Unclear ownership:** Finance and Sales each assume the other is chasing.
4. **P4 – Weak approval trail:** deductions are accepted over email, so audit evidence is scattered.

5. **P5 – Late visibility:** ageing exceptions surface only at month-end.

Root-cause hypotheses and research plan

Hypothesis	Discovery question (first call)	What it tells us
H1: Remittance detail is missing	“If a distributor owes ₹10 lakh and pays ₹9.8 lakh, what happens to the ₹20,000 until it’s closed?”	The real matching and exception steps
H2: Ownership is unclear	“How is responsibility for resolving a difference assigned?”	Who owns it, and whether Sales is involved
H3: Work happens outside the ERP	“Which systems support payment matching and exception resolution today?”	System boundaries and integration constraints
H4: The effort is material	“How much effort does your team spend resolving these exceptions?”	Whether the problem is worth solving
Control question	“Where does your finance team spend the most manual effort on reconciliation?”	Whether this is the right problem at all

Interview plan: AR executive, AR lead, Finance Controller, one area sales manager, and the ERP owner, about 45 minutes each, plus one month of anonymised receipt data if shared.

Decision rule: if differences are rare or resolved within days, stop here and redirect to the area the control question surfaces.

To-be solution concept

Match what the rules can match, and turn every remaining rupee into a case with a reason, an owner and an approval trail. Proposed platform for this layer: ServiceNow case management (see the appendix).

Design principles:

- **The ERP stays the system of record.** No ERP disruption: a lightweight internal workflow layer sits alongside it and posts only approved adjustment entries back (integration method to confirm with IT). Every entry traces to its case, evidence and approver.

- **People decide exceptions; rules don't write off money.** Nothing above tolerance closes without a human.
- **Every difference has a reason code and an owner** from the moment it is created.

Example exception queue (low-fidelity wireframe):

Distributor	Invoice	Invoiced	Received	Gap	Reason	Owner	Age	Status
Distributor A	INV-1042	₹10,00,000	₹9,80,000	₹20,000	Scheme deduction	Area sales manager	6 days	Awaiting proof
Distributor B	INV-0987	₹4,50,000	₹4,50,000	₹0	No reference	AR executive	2 days	Open
Distributor C	INV-1110	₹2,40,000	₹2,28,000	₹12,000	Damage claim	AR lead	14 days	Awaiting approval

Rows are illustrative, not Cello data.

User stories and acceptance criteria

1. **Auto-match.** As an AR executive, I want payments matched to open invoices when reference and amount agree, so I only work exceptions.
   - Given a receipt with a valid invoice reference and exact amount, when it is imported, then it is matched, marked "auto-matched" and logged.
2. **Capture every exception.** As an AR executive, I want any unmatched difference to open a case with a mandatory reason code, so causes are reportable.
   - Given a receipt with a gap above tolerance, when matching rules finish, then a case opens as "Open" and cannot be closed without a reason code.
3. **Route to an owner.** As an AR lead, I want cases routed by reason code, so ownership is never ambiguous.
   - Given a case with reason "scheme deduction", when it is created, then it is assigned to the distributor's area sales manager and a resolution timer starts.
4. **Maker-checker approval.** As a Finance Controller, I want deductions above a threshold approved by a second person, so write-offs are controlled.
   - Given a deduction above the approval threshold (illustratively ₹10,000, set by Finance), when the maker tries to approve it, then the system blocks the action, logs the attempt and routes the case to a checker.
5. **Request remittance detail.** As an AR executive, I want to request a breakdown from the distributor from within the case, so evidence stays in one place.
6. **Live ageing view.** As a Finance Controller, I want open cases by age, reason and distributor, so I see risk before month-end.

Key data fields: distributor ID, invoice number, invoice amount, receipt reference, amount received, gap, reason code, owner, status, maker, checker, and timestamps for each status change. Acceptance criteria follow Given/When/Then, so they convert directly into UAT test cases, and the stories drop straight into a JIRA epic.

Prioritisation and release plan

The first release fixes ownership and control before automation, because a faster process with no owner just moves the backlog.

Release	Scope	Why this order
MVP	Stories 1–4 and a basic ageing list	Removes the highest-effort steps and closes the control gap
Next	Stories 5–6	Improves evidence and visibility once cases are flowing
Later	Suggested reason codes from history; extend to supplier-side (procure-to-pay) matching	Needs clean case history first

Trade-off: auto-match rules start strict (exact reference and amount only). That lowers the auto-match rate at launch but avoids wrong matches, which are far costlier to unwind than manual ones.

Controls and UAT

Controls built into the design: maker-checker on deductions above threshold, a full audit trail per case, tolerance limits set by Finance, no automatic write-offs, role-based access, and a daily reconciliation of case totals to the ERP.

UAT scenario	Expected result
Payment with exact reference and amount	Auto-matched and logged
One payment covering three invoices	Split and matched to all three
Short payment with a scheme reason	Case routed to the area sales manager
Payment with no reference	Case opened for AR, status Open
Duplicate payment	Flagged; no second match
Maker tries to approve their own deduction	Blocked and logged

Success metrics and pilot

Metric	What it shows
Auto-match rate (by value)	How much work the rules remove
Median days to resolve a case	Speed of exception handling
Value of cases older than 30 days	Cash at risk
Wrong matches	Accuracy; zero tolerated in the pilot
Reopened cases	Quality of resolution

Pilot: one division and its distributors, starting with one month of historical receipts run offline (subject to security approval), then four to six weeks live. Targets are set from the measured baseline, not assumed in advance.

Go / no-go: continue only if accuracy holds, resolution time falls against the baseline, and the AR and Sales teams actually use the queue.

Risks: remittance data quality, ERP integration effort, platform licensing and fit, Sales adoption of case ownership, and distributor behaviour that the tool can't change on its own.

Limits of this case study

It is built from public data only. The process, pain points and data fields are hypotheses, and the interviews above are the next step before any build.

Appendix: proposed ServiceNow exception workflow

ServiceNow is proposed for the exception layer because it already provides case records, assignment rules, SLAs, approvals and audit history, and many enterprises license it for other workflows. This is a design proposal: it does not assume Cello uses ServiceNow or that it connects to Cello's ERP today.

1. **Payment data received:** invoice and receipt data enters the reconciliation process.
2. **Matching rules run:** exact matches post through; mismatches create an exception record.
3. **Exception workflow:** the record carries a reason code, owner, priority and SLA, and moves through Finance investigation, Sales evidence and approval.
4. **Resolution and reporting:** a verified resolution and closure reason, ageing metrics, and the approved entry reconciled back to the ERP.

Component	Specification
Exception record	Invoice reference, distributor ID, invoiced and received amounts, gap, reason code, assignment group, owner, status, timestamps
Routing rules	Scheme deductions to the distributor's sales team; unmatched or no-reference receipts to Accounts Receivable; rules confirmed with Finance and Sales
SLA and escalation	Response and resolution targets agreed with Finance; notify the owner as a deadline approaches and escalate to the AR lead on breach
Approval and closure	Approval required for deductions above the Finance-set threshold; self-approval blocked; decision history retained on the record

Additional UAT scenarios: SLA breach triggers escalation; reassignment keeps the full history; an approval above threshold can't be completed by the record's own maker; a closed case shows its complete audit trail.

Reporting adds SLA attainment and open cases by assignment group to the success metrics.

Sources

- Cello World FY26 investor presentation (consolidated revenue and receivables; FY25 restated)

- Cello World FY2024–25 annual report (note 15.1 credit period; ERP rollout)
- Cello World BRSR FY2025–26 (dealers and distributors)
- Cello World Q1 FY27 investor presentation (online share of revenue)